

In the End

Apart from all these elements you need to deduct professional tax from the salary of employees. It is a direct tax charged by the state government. Hence it varies from state to state. It is not applicable to most of the northern states. The maximum professional tax is restricted to INR 2500 per annum. The employee gets income tax exemption on the professional tax. It needs to be paid within 15 days from the end of the month. You may register and remit professional tax online for some of the states.

The taxation is compliance and the statutory contributions are the hygiene factors. As an HR expert you should know that hygiene does not motivate employees. Then what does it mean? We will discuss it in the next chapter.

You need more than hygiene factors to motivate people.

Hands-on HR

Here are some hands-on questions for you to apply what you have learnt in this chapter.

Rajat is an employee working in Madhya Pradesh. He is an Indian resident. He was born on January 1, 30 years ago. His Basic Salary is INR 20,000 per month and his Gross Salary after adding all the allowances is INR 50,000 per month for the financial year (FY) 2022-23. He is paying rent of INR 10,000 per month. Please perform following activities for Rajat.

1. Calculate Income Tax using new regime and old regime

The assessment year for FY 2022 - 23 will be 2023-24. Use the Income tax calculator to compare the taxation. You may use the Income tax site or ICICI prudential site given below.

- <https://eportal.incometax.gov.in/iec/foservices/#/TaxCalc/calculator>
- <https://www.icicprulife.com/insurance-guide/financial-planning-tools-calculators/income-tax-calculator.html>

2. Calculate for Rajat

- Professional Tax to be paid (<https://www.paisabazaar.com/tax/professional-tax/>)
- Employer contribution towards Labour Welfare Fund (<https://labourlawadvisor.in/blog/labour-welfare-fund/>)
- Gratuity amount to be paid if Rajat decides to leave and he has completed 6 years of service. (<https://groww.in/calculators/gratuity-calculator>)